HSC BUSINESS STUDIES

Finance — exam focus

Short-answer practice on the points you flagged

31 short-answer questions across 5 syllabus points

Drawn from NESA HSC 2019–2023, school trial papers 2023–24, and topic question banks.

HOW TO USE THIS BOOKLET

- Short answer only — no multiple choice, and no 20-mark extended responses.
- Ruled space follows each question, sized to its mark value.
- A question testing two of these points is printed once and cross-referenced from the other.

CONTENTS

Finance

TOPIC

Finance

Planning and implementing

1. **22 (b)** 2021 HSC Business Studies **3 marks**

Explain a financial risk associated with borrowing funds from the USA.

STIMULUS

A luxury Australian handbag business is going to expand. They intend to borrow 30 million US dollars to buy several new retail properties across Australia.

2. 24 (c) SIC Trial 2024 **4 marks**

Describe the importance of the planning and implementing process for this business.

STIMULUS

Key financial information for a manufacturing business planning to invest $10m into a new manufacturing facility over the next 3 years. Figures in $'000: Revenue 9 000; Accounts receivable 2 500; Cost of goods sold 3 600; Retained profit 1 400; Expenses 3 780. Industry averages: Gross Profit Ratio 50%; Net Profit Ratio 25%; Expense Ratio 45%.

Ethical issues of financial statements

3. 22 (d) Reddam Trial 2024 **2 marks**

Outline ONE ethical issue related to this financial report.

STIMULUS

Balance Sheet for Buffy’s Florist, 1/1/24 – 30/6/24. Current Assets: Cash $10 000; Accounts Receivable $70 000; Inventory $80 000 (total $160 000). Non-Current Assets: Retail Premises $800 000; Delivery vans $100 000. Current Liabilities: Accounts Payable $90 000; Bank overdraft $60 000 (total $150 000). Non-Current Liabilities: Mortgage $600 000. Owners’ Equity: Capital $260 000; Retained Profit $50 000. Additional financial information: Industry Average Liquidity/Working Capital Ratio = 2:1.

4. **22 (a)** Roseville Trial 2024 **2 marks**

Outline ONE limitation of financial reports.

5. **21 (a)** Knox Trial 2023 **2 marks**

Outline ONE limitation of this financial report.

STIMULUS

Financial information for Playsmart Child Care Ltd (balance sheet extract). Current Assets: Cash $40 000; Accounts Receivable $100 000; Inventory $100 000. Non-Current Assets: Building $320 000; Delivery van $40 000; Goodwill $100 000. Current Liabilities: Accounts Payable $100 000; Bank overdraft $130 000. Non-Current Liabilities: Mortgage $300 000. Owners' Equity: Capital $150 000; Retained Profit $20 000. Additional information: Debt to equity ratio = Total Liabilities / Total Equity; gearing industry average 2:1.

6. **2019 HSC Question 22 (a)** 2021 Finance Practice HSC Questions · 2019 HSC Business Studies **2 marks**

Outline ONE ethical issue related to the preparation of financial reports.

7. **22 (b)** Loreto Trial 2024 **3 marks**

Explain ONE limitation of financial statements in providing a complete picture of Coffee Mania's financial health.

STIMULUS

Coffee Mania, a local cafe. Latest financial statement key figures: Current Assets $200,000; Non-Current Assets $800,000; Current Liabilities $150,000; Non-Current Liabilities $500,000; Owner's Equity $350,000.

8. **21 (b)** Knox Trial 2023 **3 marks**

Explain ONE ethical issue related to financial reports for the stakeholders of this business.

STIMULUS

Financial information for Playsmart Child Care Ltd (balance sheet extract). Current Assets: Cash $40 000; Accounts Receivable $100 000; Inventory $100 000. Non-Current Assets: Building $320 000; Delivery van $40 000; Goodwill $100 000. Current Liabilities: Accounts Payable $100 000; Bank overdraft $130 000. Non-Current Liabilities: Mortgage $300 000. Owners' Equity: Capital $150 000; Retained Profit $20 000. Additional information: Debt to equity ratio = Total Liabilities / Total Equity; gearing industry average 2:1.

9. **2015 HSC Question 24 (a)** 2021 Finance Practice HSC Questions **3 marks**

Explain ONE possible limitation of this financial report.

STIMULUS

Extract from financial reports for Andrew's Discount Tyres as at 30 May 2015. Current assets: Accounts receivable $1 000; Inventory $2 000; Cash $2 000. Non-current assets: Building $13 000; Fittings $1 000; Research and development $5 000. Current liabilities: Overdraft $2 000; Accounts payable $1 000. Non-current liabilities: Mortgage $5 000. Owner's Equity $16 000. Other information: Net profit for Andrew's Discount Tyres $1000; Industry average gearing ratio (total liabilities ÷ total equity): 80%.

10. **24 (b)** Abbotsleigh Trial 2024 **4 marks**

Describe TWO limitations of SK Pty Ltd's 2024 Balance Sheet.

STIMULUS

Balance Sheet for SK Pty Ltd as at year ending 30 June 2024. Current Assets: Cash $15,000; Receivables $10,000; Inventories $80,000. Non-Current Assets: Property $280,000; R&D $60,000; Equipment $100,000. Current Liabilities: Creditors $50,000. Non-Current Liabilities: Bank Loan $100,000. Owners Equity: Capital $350,000; Net Profit $65,000; Drawings $20,000. Other financial information: 2023 return on equity ratio = 11%; 2024 return on equity ratio industry average 13%; 2024 debt to equity ratio industry average 2:1.

11. **24 (c)** 2023 HSC Business Studies **5 marks**

Explain TWO limitations of financial reports.

12. **22 (a)–(b)** 2021 Finance Practice HSC Questions **5 marks**

Question 22 (8 marks)

(a) Outline ONE ethical issue related to the preparation of financial reports. **2**

(b) Explain ONE advantage of debt financing. **3**

Profitability and working capital management

13. 22 (b) Reddam Trial 2024 **2 marks**

Describe ONE inventory management strategy Buffy's Florist Pty Ltd could use in the business.

STIMULUS

Balance Sheet for Buffy's Florist, 1/1/24 – 30/6/24. Current Assets: Cash $10 000; Accounts Receivable $70 000; Inventory $80 000 (total $160 000). Non-Current Assets: Retail Premises $800 000; Delivery vans $100 000. Current Liabilities: Accounts Payable $90 000; Bank overdraft $60 000 (total $150 000). Non-Current Liabilities: Mortgage $600 000. Owners' Equity: Capital $260 000; Retained Profit $50 000. Additional financial information: Industry Average Liquidity/Working Capital Ratio = 2:1.

14. 22 (b) Reddam Trial 2023 **2 marks**

Recommend ONE working capital management strategy Local Grocer Pty Ltd. could use to improve its liquidity.

STIMULUS

Balance Sheet for Local Grocer Pty Ltd, June 2023.
Current Assets: Cash $25 000; Accounts Receivable $45 000; Inventory $55 000.
Non-Current Assets: Building $400 000; Delivery van $50 000.
Current Liabilities: Accounts Payable $35 000; Bank overdraft $65 000.
Non-Current Liabilities: Mortgage $225 000.
Owners' Equity: Capital $200 000; Retained Profit $50 000.
Additional financial information: Return on Owners' Equity ratio for 2022 = 0.1:1.

15. **23 (b)** 2021 Finance Practice HSC Questions **3 marks**

(b) How could a business improve management of its accounts receivable turnover? 3

16. **22 (c)** Reddam Trial 2024 **4 marks**

Discuss the impact of ONE working capital management strategy on Buffy's Florist Pty Ltd.

STIMULUS

Balance Sheet for Buffy's Florist, 1/1/24 – 30/6/24. Current Assets: Cash $10 000; Accounts Receivable $70 000; Inventory $80 000 (total $160 000). Non-Current Assets: Retail Premises $800 000; Delivery vans $100 000. Current Liabilities: Accounts Payable $90 000; Bank overdraft $60 000 (total $150 000). Non-Current Liabilities: Mortgage $600 000. Owners' Equity: Capital $260 000; Retained Profit $50 000. Additional financial information: Industry Average Liquidity/Working Capital Ratio = 2:1.

17. **22 (d)** Roseville Trial 2024 **4 marks**

Recommend TWO profitability management strategies for this business.

STIMULUS

Financial data for Smith Office Supplies Pty Ltd for the period ending 30 June 2023 (business figure, then industry average): Sales 180 000 / 240 000; Cost of Goods Sold 120 000 / 120 000; GROSS PROFIT 60 000 / 120 000; Operating expenses — Administrative 17 000 / 15 000, Sales and distribution 7 000 / 15 000, Financial 7 000 / 10 000; NET PROFIT 29 000 / 80 000.

18. **23 (b)** Barker Trial 2023 · Barker Trial 2024 **4 marks**

How could Acme Kitchenware improve their level of working capital?

STIMULUS

Acme Kitchenware manufactures and sells pots and pans to department stores. Financial Information for Acme Kitchenware 2022 -- Current assets: Cash $125 000, Accounts receivable $60 500, Stock $110 000 (total current assets $295 500). Non-current assets: Vehicles $260 000, Equipment $216 580. Current liabilities: Accounts payable $120 000, Overdraft $120 780 (total current liabilities $240 780). Non-current liabilities: Mortgage $20 000. Owner's equity: Capital $430 800, Retained earnings $80 500 (total equity $511 300). Additional information: Net profit $75 000; industry average return on equity 18%. (Working capital is therefore only $54 720, a current ratio of about 1.23:1.)

19. **22 (d)** Roseville Trial 2023 **4 marks**

Recommend TWO profitability management strategies that this business could use to improve its profitability result.

STIMULUS

Income statement for Manly Beach Pancakes Store Pty Ltd, year ended 30 June 2022, shown alongside Industry Average Results ($):

Sales 150 000 (industry 200 000); Cost of goods sold 105 000 (industry 100 000); Gross profit 45 000 (industry 100 000).

Operating expenses — Administrative 5 000 (industry 12 000); Selling & distribution 7 000 (industry 15 000); Financial 3 000 (industry 3 000); Net profit 30 000 (industry 70 000).

The business therefore has a gross profit ratio of 30% versus an industry average of 50%, and a net profit ratio of 20% versus an industry average of 35%.

20. **21 (c)** Knox Trial 2023 **5 marks**

Analyse the use of sale and leaseback as a financial management strategy for this business.

STIMULUS

Financial information for Playsmart Child Care Ltd (balance sheet extract). Current Assets: Cash $40 000; Accounts Receivable $100 000; Inventory $100 000. Non-Current Assets: Building $320 000; Delivery van $40 000; Goodwill $100 000. Current Liabilities: Accounts Payable $100 000; Bank overdraft $130 000. Non-Current Liabilities: Mortgage $300 000. Owners' Equity: Capital $150 000; Retained Profit $20 000. Additional information: Debt to equity ratio = Total Liabilities / Total Equity; gearing industry average 2:1.

21. **24 (c)–(d)** 2021 Finance Practice HSC Questions · 2020 HSC Business Studies **7 marks**

Question 24 (continued)

(c) Recommend ONE financial strategy this business could implement to improve efficiency in the collection of accounts receivable. **3**

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(d) Explain TWO ways in which comparative ratio analysis can be used by this business to assess its financial position. **4**

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Equity financing

22. 22 (c) 2021 Finance Practice HSC Questions · 2019 HSC Business Studies **3 marks**

(c) Explain ONE disadvantage of equity financing. **3**

23. 23 (b) Independent Trial 2024 · Newington Trial 2024 **4 marks**

Discuss TWO sources of finance that Food Plus Pty Ltd can use to fund its expansion.

STIMULUS

Food Plus Pty Ltd is a health food grocery store, operating successfully in NSW for the last 10 years. Management is now aiming to expand overseas by opening three stores in the USA in the next two years. There are a number of global market influences which Food Plus Pty Ltd needs to consider in relation to this global expansion.

24. **22 (c)** Loreto Trial 2024 **5 marks**

Coffee Mania wants to expand its business and is looking at different financing options.
Justify ONE source of finance to fund Coffee Mania's expansion.

STIMULUS

Coffee Mania, a local cafe. Latest financial statement key figures: Current Assets $200,000; Non-Current Assets $800,000; Current Liabilities $150,000; Non-Current Liabilities $500,000; Owner's Equity $350,000. (Debt to equity is therefore 1.87:1.) The business wants to fund an expansion.

Global financial management strategies

25. **2017 HSC Question 24 (a)** 2021 Finance Practice HSC Questions **2 marks**

How will an appreciation of the Australian dollar affect the competitive position of this business?

STIMULUS

Case scenario: A business imports computers from China and sells them to customers in Australia.

26. **24 (a)** 2021 Finance Practice HSC Questions **2 marks**

Question 24 (7 marks)

A business imports computers from China and sells them to customers in Australia.

(a) How will an appreciation of the Australian dollar affect the competitive position of this business? **2**

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27. **2013 HSC Question 24 (a)** 2021 Finance Practice HSC Questions **3 marks**

Describe ONE method of payment the business could use to ensure that it receives payment for the sales.

STIMULUS

Case scenario: An Australian-owned business manufactures bicycles in China and sells them to wholesalers in France. These wholesalers do not pay in advance.

28. **24 (a)** 2021 Finance Practice HSC Questions **3 marks**

Question 24 (7 marks)

An Australian-owned business manufactures bicycles in China and sells them to wholesalers in France. These wholesalers do not pay in advance.

(a) Describe ONE method of payment the business could use to ensure that it receives payment for the sales. **3**

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29. **(b)** 2021 Finance Practice HSC Questions · Independent Trial 2024 · Newington Trial 2024 **4 marks**

(b) Explain government influences on the financial management of businesses. **4**

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30. **24 (b)** 2021 Finance Practice HSC Questions **4 marks**

(b) How could this business protect itself against a change in the value of the Australian dollar relative to another currency? **4**

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31. **24 (b)** 2021 Finance Practice HSC Questions **5 marks**

(b) Justify the method of payment that would be most effective in reducing the business's financial risk. **5**

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Also tested by question 1.